

I&M Holdings 1H20 Earnings Note

I&M Holdings' 1H20 PAT plummeted 29.5% y/y to KES 3.2B. The drop was driven by a 10.8% y/y decline in non-interest income and a 7.8% y/y rise in operating expenses. We recommend a BUY on I&M Holdings with a target price of KES 57.20 offering a potential upside of 33.0% on the current price of KES 43.00.

Lower NIM on higher cost of funds

Deviating from our estimates of a 3.0% y/y growth in loans and advances, the group's loan book grew 7.2% y/y to KES 391.6B which saw interest income increase 3.4% y/y. Lower yields on interesting earning assets (-90 bps y/ to 10.2%) saw NIM decline to 5.3% with the drop further driven by higher cost of funds as interest expense grew faster (9.4% y/y) than customer deposits (6.4% y/y to KES 252.5B).

Lower NFI diminishes top line

Non-interest income dropped 10.8% y/y to KES 4.0B below our expectation of a 6.9% y/y rise.

Credit impairments defy industry trend

Defying our expectation of a rise in provisions, credit impairments dropped 7.0% y/y against an industry trend of a surge in provisions due to effects of the prevailing pandemic that saw a slowdown in most sectors of the economy. Cost of risk dipped 20bps y/y to 1.1% lower than our expectation of a cost of risk of 1.5%.

Outlook

The Group's 1H20 performance was below our expectation as the drop in earnings was higher than anticipated. We do not view the drop in provisions as sustainable given the current operating environment and therefore foresee a surge in provisions going forward.

We also remain worried of the rise in operating expenses that has seen the cost to income ratio come up to 44.3%.

We expect to see continued growth in the loan book and liability book as the economy slowly opens up rejuvenating business activities.

We recommend a BUY on the counter given its low trading multiples. The counter is trading at P/E and P/B multiples of 11.7x and 0.6x respectively.

DATE:	**27th Aug 2020**
Target Price:	**KES 57.20**
Current Price:	**KES 43.00**
Upside:	**33.0%**
52 Week Low:	**KES 42.50**
52 Week High:	**KES 126.00**

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Financial Statements

Income Statement	1H19 KES M	1H20 KES M	chg y/y
Interest Income	12,684	13,116	3.4%
Interest Expense	5,666	6,197	9.4%
Net Interest Income	7,018	6,919	-1.4%
Non Interest Income	4,536	4,047	-10.8%
Total Operating Income	11,554	10,966	-5.1%
Total Operating Expenses	4,506	4,859	7.8%
Loan Loss Provision Expense	**1,109**	**1,031**	**-7.0%**
Operating Profit	7,048	6,108	-13.3%
Profit Before Tax	6,220	4,497	-27.7%
Current Tax	1,694	1,307	-22.8%
Profit for the period	**4,526**	**3,190**	**-29.5%**
EPS (KES)	10.38	3.69	-64.5%

Balance Sheet			
Total Shareholders' Equity	55,434	62,070	12.0%
Customer Deposits	237,242	252,484	6.4%
Total Liabilities	261,619	278,570	6.5%
Total Equity and Liabilities	317,054	340,640	7.4%
Cash and CBK Balances	20,142	19,068	-5.3%
Government and Other Securities	55,514	72,238	30.1%
Net Loans and Advances	172,164	184,565	7.2%
Total Assets	317,054	340,640	7.4%

Key Ratios			
Cost of Risk	1.3%	1.1%	
Loan to Deposits	72.6%	73.1%	
Yield on Interest Earning Assets	11.1%	10.2%	
Cost of Funds	4.8%	4.9%	
NIM	6.4%	5.3%	
Non Funded/Total Income	39.3%	36.9%	
Cost to Income Ratio	39.0%	44.3%	
ROE	16.3%	10.3%	
ROA	2.9%	1.9%	
P/E (x)		**11.7**	
P/B (x)		**0.6**	

Source: AIB-AXYS Research, company fillings



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